

Management did something wrong?

We must immediately sell our stocks if there is some critical news about:

- The management admitting to a mistake.
- Management is implicated in some sort of fraud in the business.
- Management does not act fairly to the interests of the shareholders.

Although selling such stocks may result in either profits or losses, still, we should sell the stocks immediately if the management does something wrong.

Two instances were brought to light:



Any frauds by the management, we should **sell immediately**. But it should be material. You should not go for every small thing.

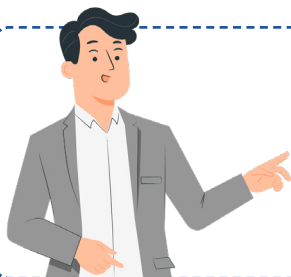


They might correct it later on, but it's too complicated for a retail investor to understand. It's best to sell at this point.

Trusts break and the markets do not have confidence in the management of the company. Any major misconduct against the shareholders or the market has a significant effect on the enterprise. So sell the stocks immediately.

In the case of the Satyam Case - financial data was manipulated.

- The management had been deceiving the shareholders for a considerable amount of time by communicating incorrect financials.



When the management is involved in major misconduct, it questions their integrity. Thus it is strongly advisable to sell the stock. They can fix the mistakes in the future, but it will be very complex for the average investor to understand. Thus, it would be best to sell now.